



The revenue hidden in plain sight: Closing the retail payments optimisation gap

Retail Systems In collaboration with **ACI Worldwide®**



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Methodology

Retail Systems and ACI conducted a survey of 203 payments professionals at retailers across the US and Europe to understand the current state of payments optimisation in the sector.

The research examined how retailers assess and benchmark their own payments performance, where in the payments journey their optimisation efforts are focused, how they are approaching acquiring strategy and payments orchestration, and what barriers, if any, are preventing them from making further progress.

Key findings:

1. Retailers are more likely to measure optimisation through cost reduction than direct revenue impact

60 percent of respondents measure the success of payments optimisation through payment processing costs, while 37 percent measure revenue directly attributed to payments performance gains. This suggests that cost-related outcomes remain more widely tracked than direct revenue contribution.

2. Payments optimisation is recognised as important, but not always prioritised

70 percent of organisations treat optimisation as a topic of standalone importance, with a quarter assigning it board-level visibility. However, fewer than half describe it as either a top-tier strategic priority or a major operational focus.

3. Resource constraints are limiting further improvement

55 percent of merchants cite internal resource or budget constraints as a major barrier to improving payments performance, while 22 percent say they are aware of significant performance gaps but lack the resources to address them.

4. External partners play a central role in optimisation efforts

Over half of retailers primarily rely on their payments gateway provider, acquirer PSP, or payments orchestrator to identify and drive optimisation improvements, highlighting the important role external expertise plays alongside internal teams.

5. Orchestration adoption is expected to increase

57 percent of merchants intend to implement or expand a payments orchestration solution within the next year, while 7 percent currently rely on one for optimisation improvements. This indicates a widening gap between current usage and planned adoption.



Introduction

Payments optimisation is becoming a vital part of modern retail. As retailers work across providers, gateways and processors, failed payments, fraudulent transactions and transaction friction can quickly eat into retailers' profits if left unchecked, creating revenue leakage that is often difficult to identify and recover.

At the same time, increasing payment choice, improving authorisation rates and reducing false declines can help retailers capture more revenue from existing customer demand. Even relatively small improvements across the payments journey can have a significant cumulative impact on commercial performance.

Achieving these improvements is rarely straightforward. Retailers must balance fraud prevention, customer experience, acquiring strategy, localisation requirements and operational efficiency, often across multiple markets and payment providers. As payment ecosystems become more complex, the case for a unifying orchestration layer grows, but so does the challenge of implementing it effectively.

For this reason, it is a clear priority for many merchants, with the payments orchestration market expected to reach \$6.52 billion by 2030. Yet despite widespread recognition of its importance, many retailers continue to face barriers to further progress.

This research suggests that while merchants understand the operational value of payments orchestration and the optimisation opportunity that comes with it, many still struggle to position optimisation internally as a driver of revenue growth. Resource constraints, competing priorities and limited investment remain significant obstacles, even among organisations that recognise the opportunity for improvement.



1. Payments performance

The big picture here is that only 30 percent of merchants believe they are performing strongly, leaving 70 percent underperforming to increasing levels.

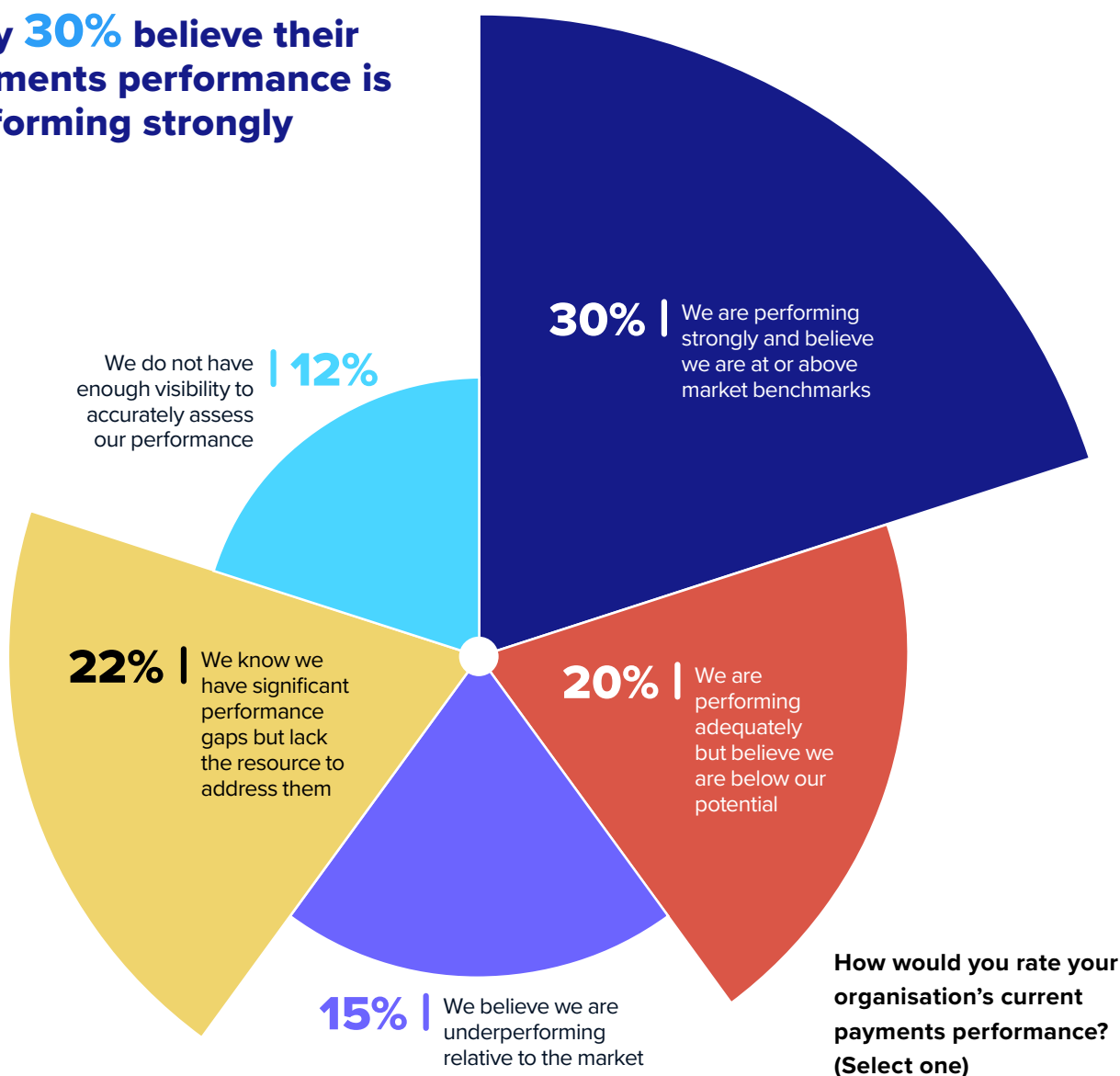
Half of the surveyed respondents believe they are underperforming or lack the resources to address performance gaps. The final 12 percent of those underperforming do not have the visibility to accurately assess their performance. These responses highlight the ongoing constraints that a lack of resources places on payments optimisation.

These underperforming results roughly align with self-reporting around the priority given to payments

optimisation, where only a quarter placed it as a top-tier strategic priority.

This also parallels later findings which suggest a potential relationship between the importance placed on payments optimisation and perceived performance outcomes. This performance gap is reinforced by how success is measured.

Only 30% believe their payments performance is performing strongly



2. Metrics for success

These responses suggest that the most common metric used to measure payments optimisation success is the cost of payment processing, cited by three in five respondents.

On the other side, just over a third measure revenue directly generated by payments performance gains. While both metrics are tracked, the data suggests that most merchants do not consistently capture both cost and revenue outcomes together.

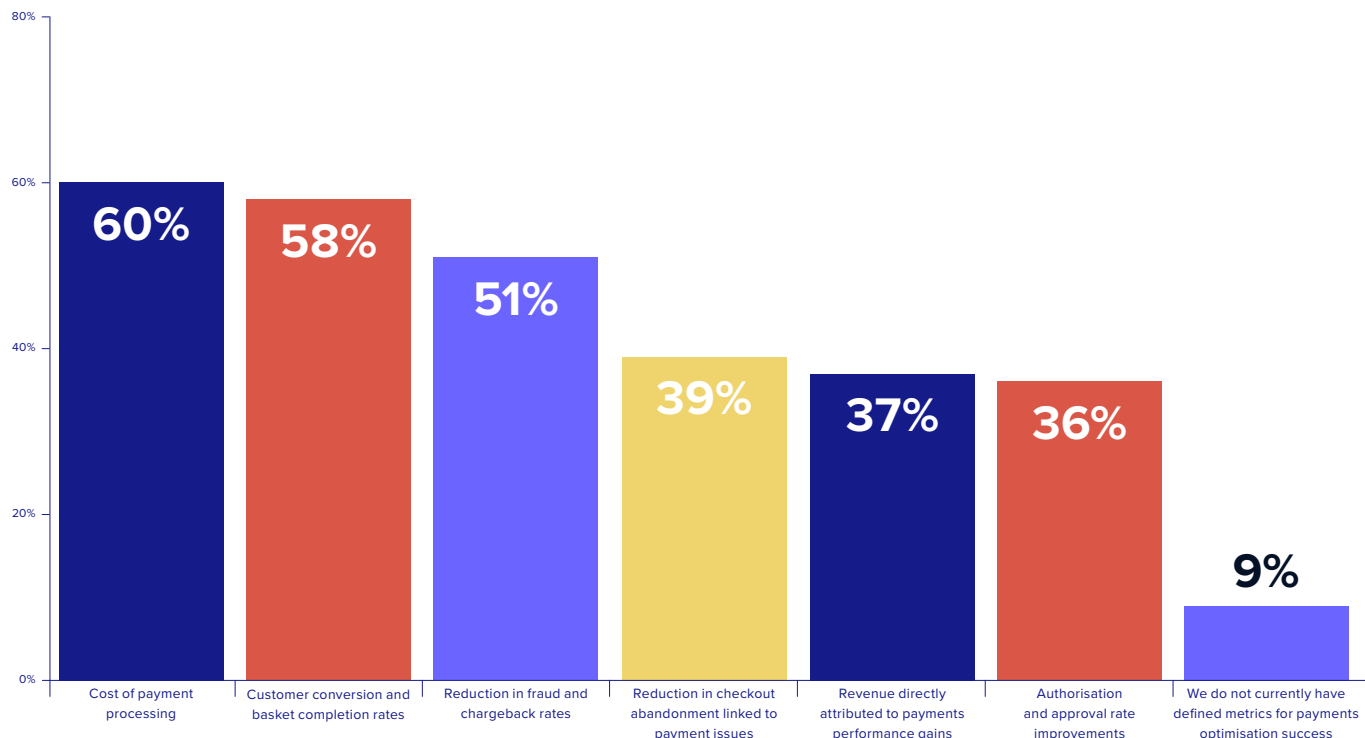
Nearly the same proportion of respondents measure customer conversion and basket completion rates as measure payment processing costs.

These metrics are typically associated with improved commercial outcomes, although they are not always explicitly framed in revenue terms within the context of payments optimisation.

Reduction in checkout abandonment and improvements in authorisation and approval rates are also widely tracked, with similar levels of adoption to revenue-based measurement.

Capturing these metrics without noting the revenue they generate may mean it is harder to quantify their benefit to the board. Reframing them not as cost savings but revenue generation may allow payments teams to raise payments optimisation to a top-tier strategic priority with board-level visibility to get allocations that enable real progress on optimisation.

Payments optimisation is measured in **cost savings nearly twice as often as revenue gains**



How do you currently measure the success of your payments optimisation activity? (Select all that apply)

3. Prioritisation of payments optimisation

Payments optimisation is clearly recognised as an important topic in the retail sector. Nearly 70 percent of respondents place it somewhere between a valuable operational priority and a board-level strategic issue, with one quarter saying it has visibility at the highest levels of the business.

However, the findings also reveal a gap between recognition and prioritisation. While almost half of respondents describe payments optimisation as either a top-tier strategic priority or an important operational focus, a further 32 percent either embed it within broader payments and checkout initiatives or do not currently view it as a strategic priority at all.

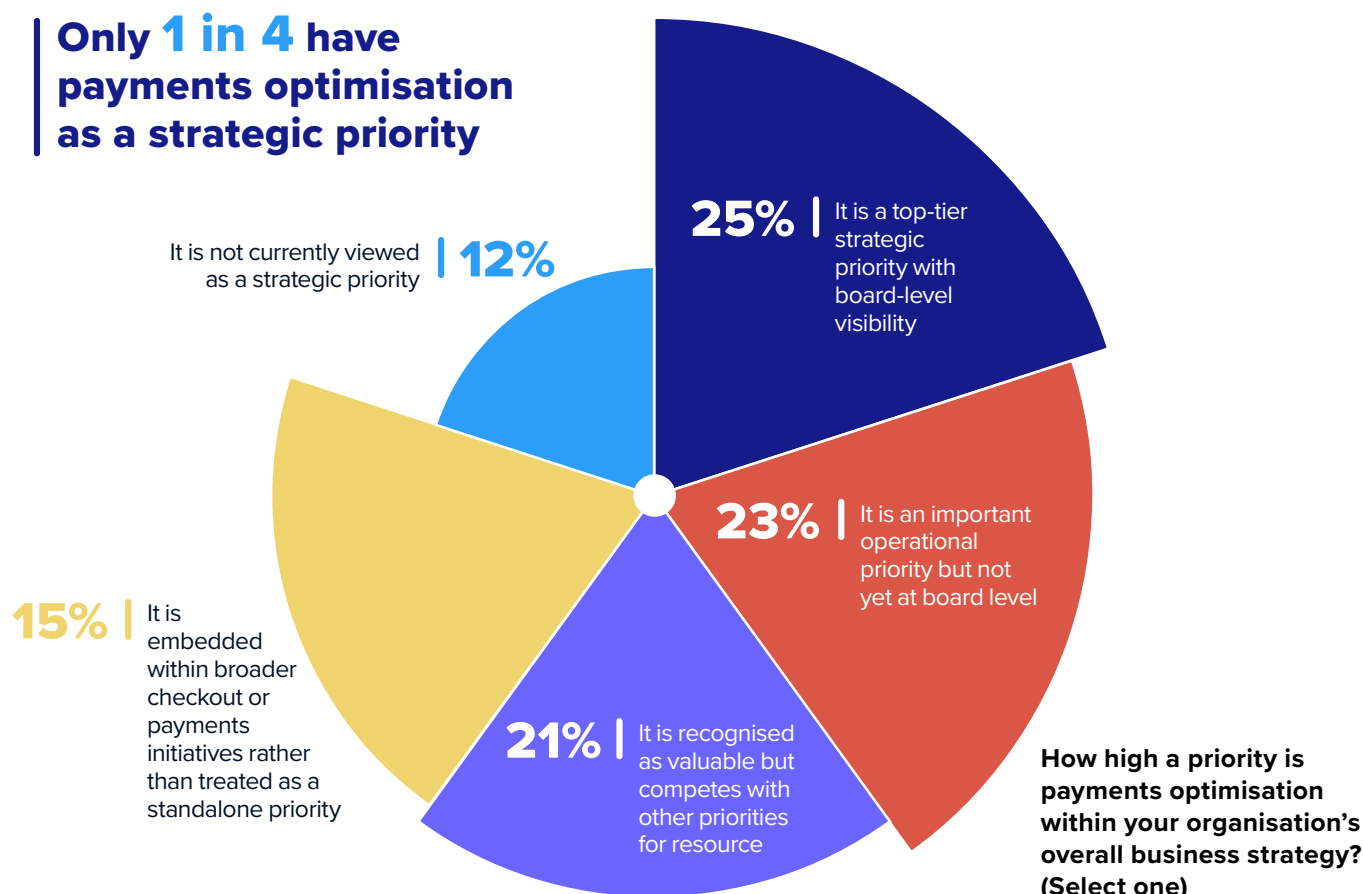
This distinction is meaningful because payments optimisation has the potential to influence both costs and revenue. Improvements to authorisation rates, payment acceptance, payment method mix and customer experience can all contribute to stronger commercial outcomes, yet optimisation often competes with other technology, operational and customer-facing initiatives for investment and attention.

This tension appears throughout the survey findings.

While retailers generally recognise the value of improving payments performance, later results show that many organisations continue to face resource constraints, competing priorities and challenges in securing investment. Taken together, this suggests that payments optimisation is widely regarded as important for the majority, but has not yet secured a consistent focus across the sector.

The findings also hint at a broader issue explored in the previous section. Many retailers continue to measure the success of payments optimisation primarily through cost reduction rather than revenue generation. When optimisation is viewed principally as a means of reducing processing costs rather than unlocking growth, securing investment can become more difficult, even when opportunities for improvement are well understood.

Only 1 in 4 have payments optimisation as a strategic priority



4. Barriers to improvement

One barrier stands above the rest as the most commonly cited challenge for retailers looking to improve payments performance: internal resource and budget constraints, with over half of respondents ranking it among their top three.

This finding reinforces a theme seen throughout the survey: while retailers recognise the importance of payments optimisation, resource and budget constraints continue to limit progress.

Payments teams are missing the opportunity to position payments optimisation more explicitly in terms of increased revenue when engaging with internal stakeholders. This framing can support discussions about ROI and how additional investment may translate into significant revenue uplift, as well as customer experience benefits. This may also be useful if competing priorities are a major bottleneck.

However, for retailers that do not have the resources to spare on payments optimisation anywhere in their organisation, the problem may be more difficult to solve. Without investment, these retailers will continue to experience revenue leakage as an ongoing issue, meaning fewer potential sales are completed, which in turn will reduce cashflow, making it harder to produce further required improvements.

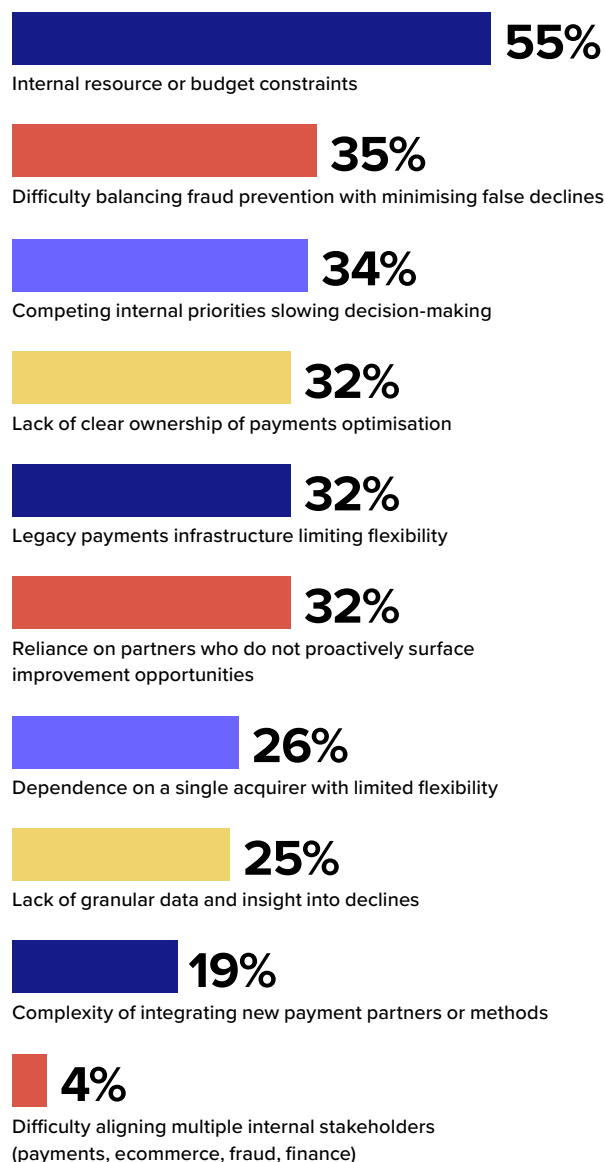
This is linked to the third of retailers that suffer from legacy payments infrastructure, another complex issue. While this requires investment and commitment, without it retailers risk invisible revenue leakage and a deterioration in customer engagement.

The other major issue retailers are facing is the complex balancing act of ensuring that legitimate transactions are not blocked while not preventing fraudulent activity from being approved.

More than a third of respondents noted this as a key problem, drawing attention to the difficulty of balancing payment acceptance with fraud prevention. As fraud threats continue to evolve, including the growing use of AI-enabled attacks and automated malicious bots need to define because of agentic, maintaining this balance is likely to become increasingly important.

Combined with the resource, infrastructure and ownership challenges identified elsewhere in the survey, good callout for anywhere in document.

Budget and resource constraints are biggest barriers to improving performance



Which of the following do you see as the biggest barriers to improving your payments performance? (Select up to three)



5. Current areas of focus

For those retailers focusing on payments optimisation, the process takes a wide variety of forms. The results show relatively little separation between the different areas of focus, suggesting that merchants are taking a broad approach rather than concentrating on a single aspect of payments performance. This could be due to a lack of visibility on what is driving sub-optimal performance.

Authorisation and approval rates rank most highly, albeit by a narrow margin. This likely reflects that these are among the most visible measures of payments performance and have a direct impact on successful transaction volumes.

Authorisation performance can also act as a useful indicator of wider payment health. Approval rates may be influenced by factors including acquiring strategy, routing decisions, fraud controls and payment method availability, making them a natural focal point for optimisation efforts.

Acquiring strategy and routing rank a close second, suggesting retailers are equally focused on improving the efficiency of payment processing. This aligns with later findings showing that payment costs, performance and acceptance rates remain key concerns across the sector.

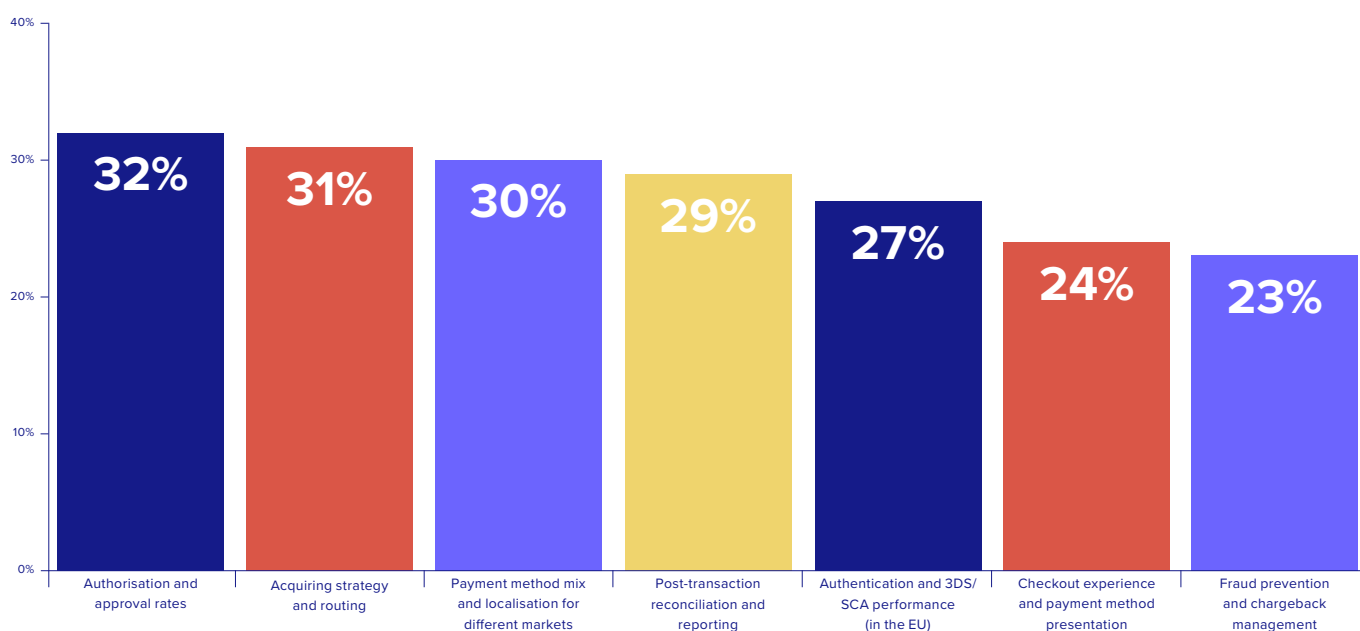
Multi-market tailoring is also a significant area of focus, with 30 percent of retailers placing it in their top

two priorities. This reflects the growing complexity of operating across multiple markets, where local payment preferences, issuer behaviour and regulatory requirements can all influence payments performance.

The complexities that come with routing and multi-market tailoring require the knowledge, insight, and capabilities that payments orchestration platforms can provide. This will be delved into later in this document.

Interestingly, customer-facing elements of the payment journey rank slightly lower than operational considerations such as authorisation, routing and reconciliation. While the differences are relatively small, the results suggest that retailers are currently placing greater emphasis on the mechanics of payments performance than on checkout presentation and payment experience.

Improvement approaches lack focus



Where in the payments journey is your optimisation effort currently most focused? (Select up to two)



6. Handling declines

Retries remain a developing area of payments optimisation, with the results pointing to three distinct groups of retailers.

The most advanced group, representing 22 percent of respondents, use automated retry logic based on issuer responses or transaction data. These merchants are taking a more sophisticated approach to recovering failed transactions, using automation to determine when, how, and if a payment should be retried. This creates a clear distinction between merchants that are actively recovering potentially recoverable declines and those that rely on more limited or manual retry processes, which may reduce overall recovery opportunities.

A second group, accounting for 43 percent of respondents, retry transactions through alternative routes or simple rules-based approaches. This implies a recognition of the value that retries can deliver, although many retailers have not yet adopted more advanced automation.

The final group, comprising 35 percent of respondents, either rarely retry declined transactions or have no structured retry strategy in place.

Given the potential impact that recoverable declines can have on revenue, this represents a significant opportunity for improvement.

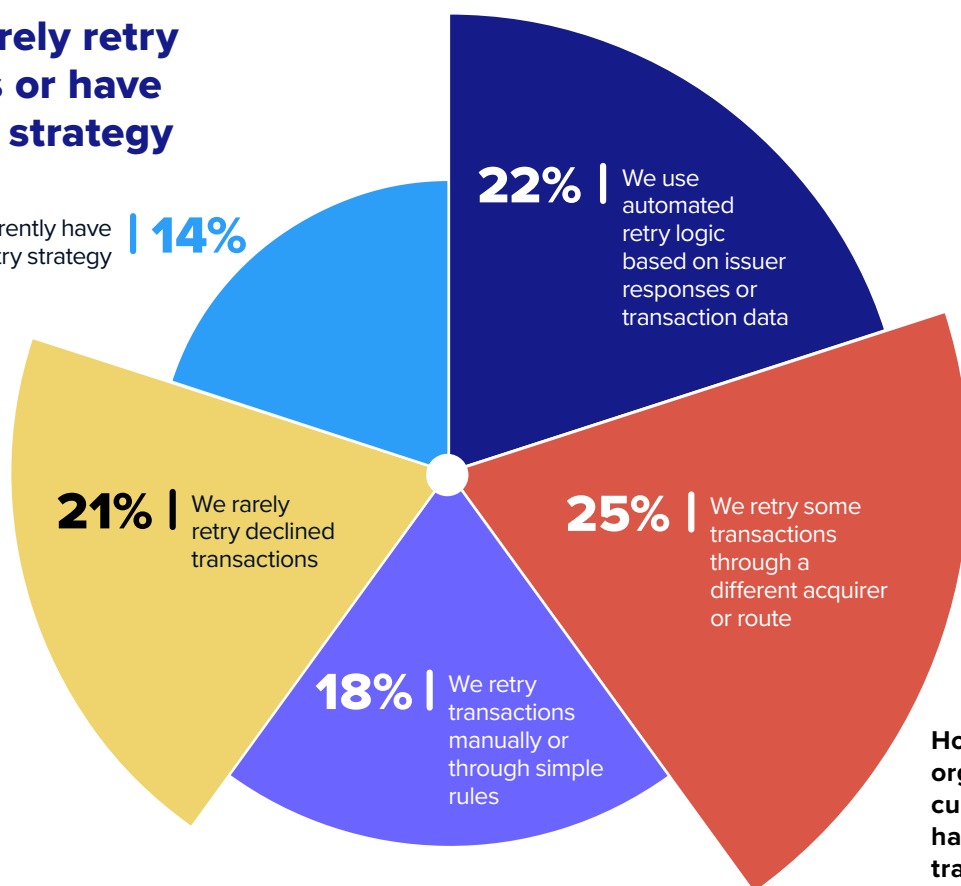
Viewed alongside later findings on resource constraints and legacy infrastructure, the results suggest that many retailers may understand the benefits of retry strategies but have not yet implemented the processes or technologies needed to optimise them fully.

Overall, the data indicates that retry management remains an area where there is considerable room for maturity across the retail sector. While some merchants are already using automated approaches, the majority continue to rely on either manual processes or limited retry activity.

35% rarely retry declines or have no retry strategy

We do not currently have a structured retry strategy

14%



How does your organisation currently handle declined transactions? (Select one)



7. Multi-market payments tailoring

Merchants make payments approach adjustments by market in several key areas: fraud rules, routing logic and authentication are all tailored depending on market by around half of all respondents.

Almost all merchants have a multi-market strategy for acquiring, but they are split between those that use cross-border acquiring and those that use different acquirers in different markets to optimise acceptance rates. These two strategies are not mutually exclusive; companies will often use local acquiring for their core markets, with cross-border filling the gaps.

However, in this case it seems that a large portion of retailers prioritise consistency in acquiring or PSP setup across markets for operational simplicity.

There are a number of possible reasons for this, including differing requirements across markets and the operational complexity of managing multiple acquirers.

Across the data, retailers demonstrate a strong tendency to tailor their payments approach by market, with fewer than one in ten reporting that they do not significantly adapt their strategy. This suggests that a largely standardised, one-size-fits-all approach is uncommon, with most merchants recognising the need to adjust payments strategies to reflect local market conditions.



93% tailor their payments approach by market

53%
We tailor fraud rules and risk thresholds by market

47%
We adjust routing logic based on geography, issuer behaviour, or performance

47%
We use cross-border acquiring rather than local acquiring in some or all markets

47%
We use different acquirers in different markets to optimise acceptance rates

45%
We adapt authentication approaches (e.g. 3DS/SCA) based on market requirements or performance

45%
We prioritise a consistent acquiring or PSP setup across markets for operational simplicity

41%
We tailor our payment method mix to local customer preferences

32%
We rely on partners (e.g. PSPs, orchestration platforms) to manage localisation on our behalf

10%
We localise currency handling and settlement approaches

7%
We do not significantly tailor our payments approach by market

When operating across multiple countries or regions, how does your organisation tailor its payments approach? (Select all that apply)



8. Sources of payments optimisation

For this question we asked respondents to rank their top three choices. For the respondents' first choice, the data shows a clear preference towards relying on outside groups that are most directly involved with a retailer's payment journeys.

This indicates that many retailers are choosing to look to experts outside their company rather than creating improvements in-house.

However, these external partners may vary in the extent to which they provide tailored solutions, which could explain why 27 percent of respondents rely on in-house teams first.

Despite many merchants saying they look to outside partners for payments optimisation improvements, this does not translate to external consultancies, which are favoured primarily by only one in ten retailers. It is possible that the high cost of relying on a consultant relative to either in-house teams or existing partners plays a role in this.

Some seven percent of retailers rely directly on their payments orchestrator. Among this group, orchestration is also cited as the primary source of optimisation guidance, indicating that for adopters, optimisation responsibilities are closely associated with the orchestration layer. This may reflect the way these platforms are positioned within the payments stack, combining infrastructure functions with optimisation capabilities such as routing and data visibility.

This question also provides further evidence that payments optimisation is a known issue for most retailers, with only eight percent having no clearly defined source of guidance.

When looking at the three choices selected as a whole, there's a shift in choices. The top three, in order, were the internal ecommerce team, payments orchestration provider, and gateway provider.

Looking closer at which internal teams were relied upon; while 18 percent chose payments or finance as their first choice, 41 percent stated digital or eCommerce teams as their third choice, making it the overwhelming overall choice, garnering 19 percent vs. 11 percent of all selections.

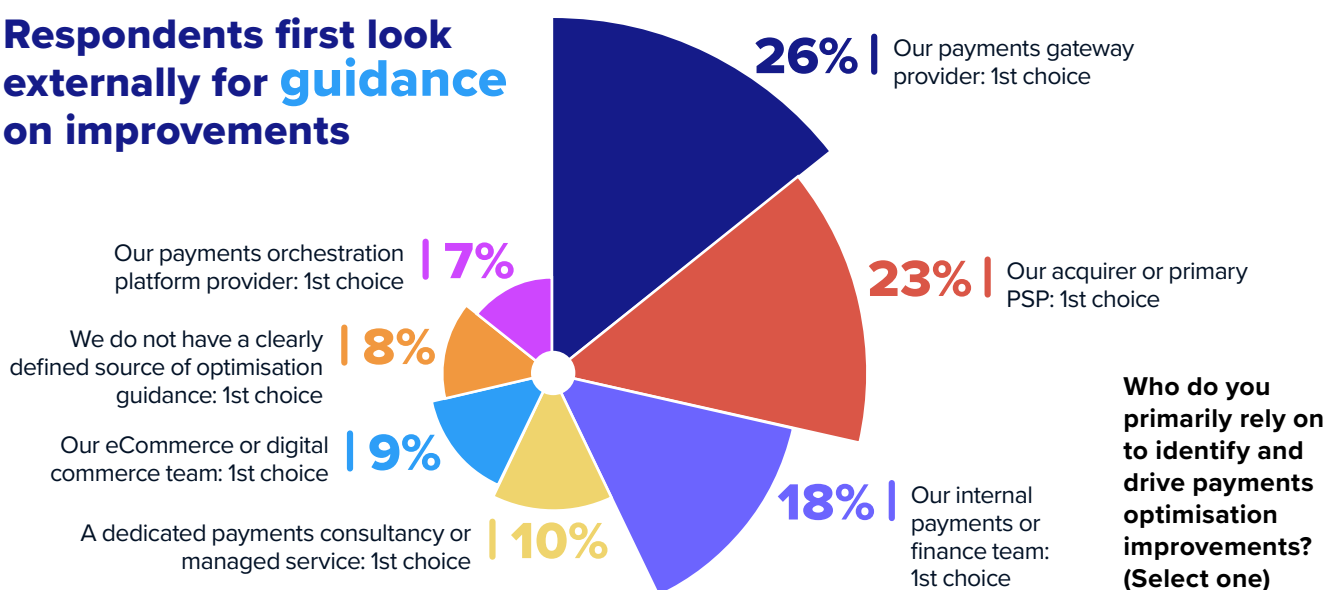
Moreover, those who selected "no clearly defined source of optimisation guidance" as their first choice, selected their internal payments or finance team followed by their acquirer or primary PSP.

All of these factors align with the barriers for payments optimisation improvement responses, where 36 percent cited lack of clear ownership and difficulty aligning multiple internal stakeholders (payments, ecommerce, fraud, finance) and another third reporting competing internal priorities slowing decision-making.

It is clear from the findings competing KPIs and priorities of finance, payments, ecommerce, risk and IT teams can be the cause of multiple issues in optimising and measuring payments optimisation efforts. Simply put,

when multiple groups are making changes, it's nearly impossible to quantify the results of any single change.

Respondents first look externally for guidance on improvements



9. Key benefits of orchestration

Merchants recognise many advantages of payments orchestration. But there are two benefits of orchestration that stand out in the data.

Almost half the respondents said access to richer payments performance data across channels was a major enhancement to the process.

This stands in contrast to question four, in which only a quarter cited a lack of granular data and insight into declines as a key barrier to payments optimisation. This suggests that retailers are not prioritising decline-level insight—even though it directly impacts recoverable revenue.

However, this answer does suggest that merchants understand the value of data gathering to optimisation, and since it outranks other more operational considerations it may mean that orchestration is mistakenly seen as an intelligence gathering tool rather than a direct revenue generator.

44 percent of those surveyed cite improved ability to retry declined transactions as a core benefit of orchestration. This may be especially relevant for merchants that said in earlier answers that they do not yet have automated retry logic. Its high ranking is evidence that improving on this area is of importance to retailers, even if they do not yet do so.

The next benefit speaks to the flexibility that streamlining payments through orchestration can bring; over a third of respondents say that the ability to expand into new markets or geographies is a major boon of this process.

Reducing costs ranks last, while richer data ranks first for orchestration benefits

47%
Access to richer payments performance data across all channels

44%
Improved ability to retry declined transactions without customer friction

36%
Greater flexibility to expand into new markets or geographies

35%
Reducing dependence on a single acquirer or payment partner

32%
Greater resilience through failover if a payment provider experiences disruption

30%
Enhanced fraud management across multiple payment providers

30%
Faster and simpler integration of new payment methods

26%
Ability to route transactions across multiple acquirers to improve approval rates

19%
Reduced cost of payment processing through competitive routing

Which of the following benefits of payment orchestration are most relevant to your business? (Select up to three)



10. Approaches going forward

These forward-looking responses further reinforce the idea that even retailers not currently prioritising payments optimisation intend to improve on it. Nine out of ten of those surveyed intend to expand their approach within the next 12 months, and fewer than one in ten say changes are unlikely.

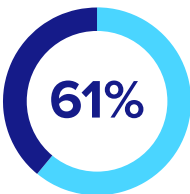
For those that do intend to change their approach, two options stand out. This is partly because they are broad categories, with both managed optimisation programmes and payments orchestration solutions covering a wide range of initiatives. This may indicate a shift towards more integrated approaches to payments optimisation, reflecting the complexity of managing performance across multiple providers, markets, and payment methods.

57 percent of retailers are planning to implement or expand an orchestration solution and under sources of optimisation, orchestration was the highest-ranked external partner. The reason lies in what orchestration

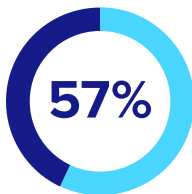
is uniquely positioned to do: rather than addressing one isolated part of the payments journey, it sits across it. An orchestration layer can apply intelligent retry logic to recover declined transactions without adding customer friction, reduce dependency on a single acquirer, and surface richer performance data across every channel and market—benefits retailers themselves ranked most highly in this report.

This combination of routing intelligence, data visibility and built-in optimisation capability makes the orchestration solution more a central engine for continuous improvement.

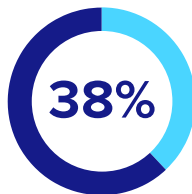
6 in 10 plan to engage external expertise and payments orchestration



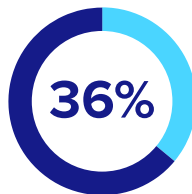
We plan to engage external expertise or a managed optimisation programme



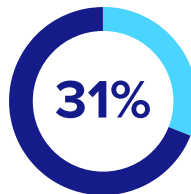
We plan to implement or expand a payments orchestration solution



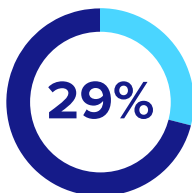
We plan to review or renegotiate our existing acquiring relationships (e.g. cost, performance, features)



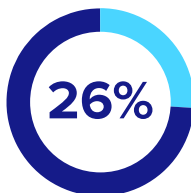
We plan to introduce new alternative payment methods



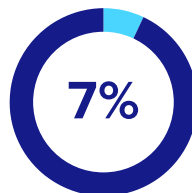
We plan to invest in better payments data and reporting capability



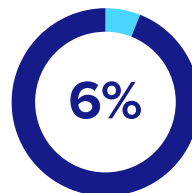
We plan to adopt AI or machine learning tools for payments optimisation



We plan to add new acquiring partners to improve performance or coverage



We do not anticipate significant changes to our current approach



We are still evaluating our options and have not yet committed to a specific direction

How do you expect your approach to payments optimisation to change over the next 12 months? (Select up to three)



Conclusion

These results show that payments optimisation and orchestration are important topics for retailers, and one they want to improve on.

At the same time, their impact is limited by resource constraints that may result in some optimisations remaining unimplemented. These constraints are compounded by a widespread view that payments optimisation is a process of reducing costs rather than generating revenue.

Retailers rely on partners to support their payments optimisation improvements and are willing to accept external expertise in this field. These are currently largely

acquirers, providers and gateways, with orchestration platforms and managed optimisation providers likely to grow in importance over the next year.

Payments teams that are able to make the case that payments optimisation goes beyond its most immediately measurable impacts and continue to engage outside expertise are poised to see growing revenue, lower cart abandonment and a more streamlined customer experience.



ACI Worldwide's perspective

The revenue you're leaving on the table

Most of the retailers are losing revenue right now and they can't see it. That's the uncomfortable truth behind the numbers.

Approval rates look stable. Uptime looks fine. Yet revenue continues to slip away through misrouted transactions, poor authentication, misread fraud signals, and declines that were never retried. Industry-wide, 10–15 percent of transactions fail across the payments journey¹. This is not a rounding error. It is one of the largest pools of recoverable revenue most merchants already own but rarely access.

The scale is significant. A 3 percent uplift in acceptance equates to roughly \$30 million recovered for every \$1 billion in processing volume¹. For most retailers, this isn't theoretical value, it's revenue sitting inside existing payment flows, waiting to be reclaimed.

And yet, many organisations struggle to act.

55 percent of merchants cite internal resource or budget constraints as a major barrier, and 22 percent say they are aware of performance gaps but lack the resources to address them.

The constraint is real, but it shouldn't be a blocker.

Payments optimisation does not have to depend on internal capacity or large, upfront investment. With the right approach, merchants can identify and unlock these gains quickly, without adding any operational burden.

So why does the problem persist? This research points to one answer: 60 percent of retailers still measure optimisation through cost, while only 37 percent measure



the revenue it generates. When optimisation is framed as cost reduction rather than revenue growth, it competes for scraps of budget instead of commanding strategic investment.

The gap is not capability, but perception. Closing it starts with reframing the conversation. Payments optimisation is the fastest route to revenue a merchant has; faster than acquisition, discounting, or launching new channels. The demand already exists. The customers are already at checkout. The conversation is about how to convert more.

This is where ACI comes in. Our AI-driven forensic analysis, trained on more than one trillion data points and combined with expert insight, identifies where revenue is leaking and prioritises the actions that deliver the greatest impact. We benchmark performance, model realistic uplift, and help turn insight into action.

How to get started

Take the first step toward higher acceptance rates and stronger revenue performance. Learn how ACI can help you unlock hidden opportunities and convert payments performance improvements into revenue gains by [talking to an ACI expert](#).

¹ Internal ACI data





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